

79 million individuals. In addition to the settlement, Anthem was fined US\$ 16 million for violating HIPAA rules, a penalty paid to the Office for Civil Rights at the US Department of Health and Human Services. The company also had to undertake significant corrective security measures.

The long-term financial advantages of establishing a cloud security program

I invest in the stock markets with the concept known as ‘coffee-can investing’. This popular Japanese method involves investing a small amount in value stocks and acquiring these stocks in smaller quantities, which will reap benefits in the long term. Organisations should follow a similar approach, always accumulating and investing in futuristic technologies. Investing in a full cloud security program can save a lot of money in the long run, something that is often overlooked when first planning a budget.

A 2020 IBM study indicated that the average cost of a data breach is US\$ 3.86 million. While the initial investment in security infrastructure and training for personnel might seem steep, these costs are justifiable when considering the potential savings from avoiding breaches. Moreover, a strong security strategy can optimise business operations, reduce downtime resulting from security incidents, and boost overall resilience. These improvements contribute to cost reductions and better continuity for the business.

Crafting your cloud security strategy

Creating a strong cloud security program begins with having a solid cloud security strategy, and a clear understanding of what the organisation possesses and needs. Organisations must evaluate their teams, budgets, and technology to ensure they can establish a security framework. If internal resources aren’t sufficient, outsourcing to managed security service

providers (MSSPs) can be an effective way to enhance capabilities while simultaneously building an in-house team with the required capabilities.

It’s essential to understand the scope of what your organisation controls—such as data, systems, and networks. This knowledge significantly aids in better risk management.

Once you have a clear picture of your assets and have identified the risks, shape your strategy accordingly. There are numerous tools and companies available to help safeguard against these risks. However, choosing the right solutions for your organisation’s specific needs is crucial. By aligning the risk mitigation strategies with organisational goals, companies can strengthen their security stance and navigate the evolving landscape of cyber threats with increased efficiency.

Optimising cost and quality when choosing vendors

Selecting the right vendors and tools based on business requirements plays a crucial role in security management. Choosing vendors for your security needs is essential, and senior management must carefully balance cost and quality. It is tempting to opt for the lowest-cost option when selecting vendors, but this approach can compromise the quality and effectiveness of the security program. Decisions based solely on cost can result in poor outcomes, a concern that is particularly acute in cybersecurity, where the risks are high.

Selecting a vendor involves more than just comparing prices; it requires an in-depth understanding of various factors. This includes a detailed assessment of the vendor’s capabilities, track record, adherence to industry standards, and their ability to adapt to a changing threat landscape. The right vendor should not only fit the budget but also align with the company’s business requirements and values.

This approach ensures that the investment in security provides the desired level of protection without compromising on quality. For a deeper understanding of how to navigate cloud security tools and align them to specific needs, check out my previous article on this topic in the June 2024 issue of *OSFY*.

The verdict

Building a cloud security program is an essential investment for modern businesses, transcending the traditional view of it being a mere expense. The misconceptions surrounding the costs of security programs need some re-evaluation, considering the significant long-term benefits and cost savings they offer. The financial and reputational damages resulting from non-compliance and security failures further highlight the importance of such investments.

We need to look at our organisation’s security as a strategic investment and not merely as an expense because it leads to a safer, more resilient and financially sound future in a world where digital business is increasing rapidly. **END** 🐧

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